TEXORA · COURSE NOTES · LECTURE SHEET

Economics: Basic Concepts and the Economy of Bangladesh

The science of scarcity and choice — its classic definitions and first principles, the micro/macro divide, and the structure of the Bangladesh economy these ideas are needed to describe.

HUM-2209 · SOCIOLOGY AND HUMAN ECOLOGY · TOPIC 10 · LEVEL 2 TERM 2

1. What economics is: the classic definitions

Each age of the subject has defined it by its own anxiety, and the sequence of definitions is itself a small history of economics:

- **Adam Smith (1776)** — economics is the science of *wealth*: “an inquiry into the nature and causes of the wealth of nations.” The founding definition, criticised as narrow and materialistic.
- **Alfred Marshall (1890)** — economics is the study of mankind in the ordinary business of life; it examines how people get and use income, as a study of wealth on one side and of *welfare* on the other. The centre shifts from wealth to human well-being.
- **Lionel Robbins (1932)** — “Economics is the science which studies human behaviour as a relationship between ends and scarce means which have alternative uses.” The most widely accepted definition: economics begins wherever **scarcity** forces **choice**.
- **Paul Samuelson** — economics is the study of how societies use scarce resources to produce valuable commodities and distribute them among different people — adding growth and distribution to Robbins' frame.

Robbins' definition deserves the closest attention because everything in this topic grows from it. Human wants are effectively unlimited; the means to satisfy them — land, labour, capital, time — are limited; and those means can serve several competing purposes. Wherever these three meet, an economic problem exists, and the cost of any choice is the best alternative given up: the **opportunity cost**. A student's evening can be spent on study, overtime or rest — choosing one costs the others; a nation's budget spent on a bridge is not spent on hospitals. Opportunity cost is the most useful single idea a non-economist can take from economics.

2. First principles and basic concepts

CONCEPT	MEANING AND NOTE
Wants	Desires for goods and services; unlimited, recurrent, and variable between persons and ages — the demand side of the economic problem.
Goods and services	Goods are material satisfiers (rice, cloth); services are acts (teaching, transport, treatment). Both may be free goods (sunlight) or economic goods (scarce, priced).
Factors of production	**Land** — all natural resources; **labour** — human effort, mental and physical; **capital** — produced means of production (machines, buildings); **organisation/enterprise** — the risk-taking that combines the other three.
Scarcity	Means are limited relative to wants; the root condition of all economic problems.
Choice and opportunity cost	Scarcity forces ranking of wants; the cost of a choice is the best alternative forgone.
The basic economic problems	Every society must answer: *What* to produce (and how much)? *How* to produce (which technique — labour- or capital-intensive)? *For whom* to produce (how is output shared)?
Economic systems	The answering machines: the **market economy** (prices and private choice decide), the **planned economy** (the state decides), and the **mixed economy** (both — Bangladesh's system, with private enterprise dominant and the state providing infrastructure, regulation and welfare).
Price and market	A market is any arrangement bringing buyers and sellers into contact; price, set by the interplay of demand and supply, is the signal that coordinates millions of separate choices.

Note the connection to the rest of this course: economics studies the same factory as sociology (Topic 1) but asks different questions of it — costs, prices and output rather than authority, morale and class (Topic 4). The two sciences are neighbours sharing one house.

3. Microeconomics and macroeconomics

The subject divides by the size of its window. **Microeconomics** studies the individual units — a consumer, a firm, an industry, the price of one commodity. **Macroeconomics** studies the economy as a whole — total output, national income, general (not individual) prices, total employment and the balance with other countries.

POINT	MICROECONOMICS	MACROECONOMICS

Unit of study	The individual consumer, firm, industry or market	The whole economy and its great aggregates
Central questions	What price will this shirt fetch? How many workers should this factory hire?	Why is there unemployment in the country? Why are prices in general rising (inflation)?
Key variables	Individual price, quantity, cost, a firm's profit	National income, GDP, general price level, total employment, exchange rate
Method	Partial analysis — other things held equal (ceteris paribus)	General analysis — aggregates interacting; what is true of a part may not hold for the whole
Policy world	The manager's desk: pricing, costing, hiring	The finance ministry: budgets, money supply, trade policy

The last row of method deserves one clarification, the *fallacy of composition*: if one farmer plants more, his income rises; if all farmers plant more, prices may crash and all may earn less. Macroeconomics exists largely because wholes behave differently from the sum of their parts. A textile engineer uses both daily — micro when costing a style or bargaining a price, macro when judging what inflation, exchange rates and export demand will do to the order book.

4. The economy of Bangladesh in context

Descriptions here are kept structural and general: the sector shares drift a point or two from year to year, but the shape described below has held for a generation.

- **Agriculture** — still the occupation of the largest share of workers, though no longer the largest share of national income. Rice dominates the cropped land, with jute — historically Bengal's golden fibre — vegetables, fisheries and livestock around it. Its modern story is impressive (a population that has more than doubled since independence is fed, in normal years, from a shrinking farm area) and anxious: holdings fragment, prime land is lost to settlement and industry, and climate — flood, salinity, erratic rain — presses harder each decade (Topics 5 and 6).
- **Industry** — led overwhelmingly by **ready-made garments (RMG)**, which supply the great majority of the country's export earnings and employ several million workers, most of them women — the engine behind the social changes traced in Topics 3, 4 and 9. Around it stand textiles and spinning (the subject of this degree), jute goods, pharmaceuticals, leather, shipbuilding and a growing light-engineering and ICT fringe. Energy supply, port capacity and the need to move beyond basic garments into higher-value products are its standing debates.

- **Services** — the largest share of national income: trade, transport, banking and mobile finance, education, health, public administration and the vast informal economy of small shops, workshops and rickshaws that employs much of the urban workforce below the statistics' easy reach.
- **Remittances** — money sent home by the many millions of Bangladeshis working abroad, mainly in the Gulf and South-East Asia; one of the economy's main sources of foreign exchange, rivalling exports in importance, and the transformer of countless villages' housing, schooling and land markets.
- **Development trajectory** — from a byword for poverty at independence (1971) to lower-middle-income status and, in the 2020s, graduation from the United Nations' least-developed-country category — a rise built on garments, remittances, agricultural improvement, the NGO and microcredit movement (Topic 9) and population change (Topic 6). The open questions are equally structural: diversifying exports, raising skills and productivity, employing the educated young, and adapting industry to a changing climate.

For the student of this degree, the point of the survey is placement: textile engineering sits at the centre of the country's largest export industry, and the sociology of the preceding topics — stratification, migration, urbanization, change — is the description of the society that industry has made.

5. Glossary — key terms of this topic

TERM	MEANING
Scarcity	The condition of means being limited relative to the wants they might satisfy.
Opportunity cost	The best alternative forgone when a choice is made.
Factors of production	Land, labour, capital and organisation — the inputs from which all output is made.
Microeconomics	The study of individual economic units and individual prices.
Macroeconomics	The study of the economy as a whole: income, employment, general prices, trade.
GDP	Gross domestic product — the total value of goods and services produced within a country in a period.
Remittance	Money sent home by a worker employed abroad.
Mixed economy	An economic system combining market decisions and private ownership with state provision and regulation.

6. Key points and summary

- Definitions evolved from Smith's wealth, through Marshall's welfare, to Robbins' scarcity and choice — the accepted core — with Samuelson adding growth and distribution.
- Scarcity plus alternative uses forces choice; every choice has an opportunity cost; every society must answer what, how and for whom to produce, through market, plan or mixture.
- Micro studies the unit and the price; macro studies the whole and the aggregates; the fallacy of composition warns that the two levels obey different logic.
- Bangladesh's economy: agriculture employing the most, industry led by RMG exports, services largest in income, remittances a pillar of foreign exchange — a structure whose social consequences are the subject of this entire course.

7. Practice

Answer in your own words; brief model answers follow.

1. State Robbins' definition and show how each of its three elements (ends, scarce means, alternative uses) appears in a student's decision to take overtime work during examination month.
2. Classify as micro or macro, with one line of justification each: (a) a spinning mill fixes its yarn price; (b) the central bank raises interest rates to fight inflation; (c) a buyer demands a lower price per dozen shirts; (d) the country's total exports rise.
3. What is the opportunity cost of the government building a new highway with this year's development budget? Frame the answer properly (it is not “money”).
4. Use the fallacy of composition: every garment factory in a cluster cuts wages to win orders. Show how the result can defeat the intention.
5. Bangladesh answers “how to produce?” mainly with labour-intensive methods in garments. Give two reasons this is rational — for now — in terms of factor endowment.
6. “Remittances are an export that requires no factory.” Explain, and name two effects on a receiving village (link to Topics 6 and 9).

Answer key

1. Economics studies human behaviour as a relationship between ends and scarce means which have alternative uses. Ends: income and examination success. Scarce means: the student's hours and energy, which cannot cover both fully. Alternative uses: the same evening hour serves overtime (income) or revision (grades) — choosing one purpose spends the hour the other needed.
2. (a) Micro — one firm's individual price. (b) Macro — general price level and economy-wide instruments. (c) Micro — one market's price bargain. (d) Macro — an aggregate of the whole economy.

3. The opportunity cost is the best alternative development project forgone — for example the hospitals, schools or embankments the same funds would have built, valued by the benefit they would have given. Money is only the measuring rod; the cost is the real thing not done.
4. Each factory reasons: lower wages → lower costs → more orders. But when all cut together, workers' total income — the domestic demand for goods and the labour force's health and morale — falls, social unrest rises, buyers still play factories against one another, and the cluster's total orders need not grow: what was true for one is false for all.
5. Labour is Bangladesh's abundant, hence cheap, factor; capital and energy are scarce and costly. Choosing techniques that use much of the abundant factor and little of the scarce ones minimises cost per garment and maximises employment — rational while wages stay low relative to machine costs, and due for revision as wages and skills rise.
6. Labour power is exported (the worker goes abroad) and its earnings flow back like export revenue, without shipping a product. Village effects (any two): housing, schooling and land purchases financed (Topic 9 — change); family structure altered by long absence and migration chains (Topic 6); local wage rates rise as labour leaves; consumption and dowry expectations inflate.

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